State Bank of India

NSE: SBIN.NS | PSU Banks | Price as of 09 Nov 2026

CMP	TARGET PRICE	UPSIDE/DOWNSIDE	RATING
₹1,042	₹634	-39.2%	SELL

INVESTMENT THESIS

State Bank of India (SBIN.NS) is a large Indian public-sector bank with a nationwide deposit franchise and sovereign ownership. Between FY23 and FY26 revenue compounded at 9.8% to ₹2,40,000 Cr and PAT at 14.8% to ₹76,000 Cr; RoA stands at 1.09% on a 14.0x assets-to-equity balance sheet. The record points to steady compounding; our forecasts fade growth from 15.7% toward 5.0% over five years.

RoE of 15.8% sits 117 bps above our 14.6% cost of equity, so book value is being compounded at a value-accretive rate. A Piotroski F-Score of 5/7 signals adequate fundamental momentum; Altman Z is not applicable to a banking balance sheet.

We rate State Bank of India SELL with a target price of ₹634, -39.2% versus the current ₹1,042, and see the risk-reward as unfavourable. Our excess-return model (Cost of Equity 14.6%, terminal growth 5.0%) values the equity at ₹656 per share, while NSE peer medians imply ₹612. At 12.7x earnings the stock trades at a premium of 65% to the peer median of 7.7x.

BULL CASE

₹727 per share (-30% vs CMP). Cost of Equity 100 bps lower, terminal growth 100 bps higher and credit costs stay near cycle lows, treasury gains accrue as yields fall and operating leverage lifts RoA toward private-bank levels.

BEAR CASE

₹606 per share (-42% vs CMP). Cost of Equity 100 bps higher, terminal growth 100 bps lower and margin compression in an easing cycle, wage revisions and a turn in the MSME and agri credit cycle pull RoA back below 1%.

KEY CATALYSTS

- Sustained RoA above 1% with credit costs below guidance
- Treasury gains as the G-Sec curve shifts lower
- Capital raising and stake-sale clarity from the Government of India
- Earnings delivery versus consensus over the next two quarterly results

Key market & valuation data	
Market cap	₹9,61,766 Cr
52W high / low	₹1,207 / ₹807
Beta (vs NIFTY 50)	1.25
Shares / free float	923.0 Cr / 45%
Cost of Equity	14.6%
Implied EV/EBITDA (DCF)	n.m.
P/E (latest FY)	12.7x
P/B	1.8x
RoE	15.8%
Dividend yield	1.6%
USD/INR beta (2Y)	-0.81
1Y return vs NIFTY 50	+13.3% / -2.1%

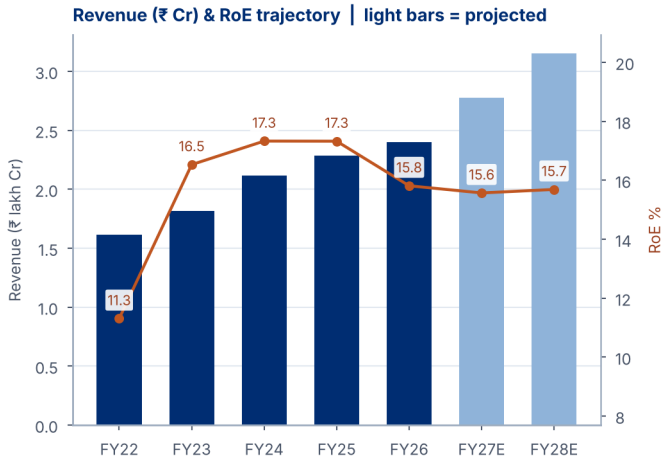
Quality scorecard	
RoA	1.09%
Assets / equity	14.0x
Piotroski F-Score	5 / 7
Altman Z-Score	n.a. (bank)
3Y revenue / PAT CAGR	9.8% / 14.8%

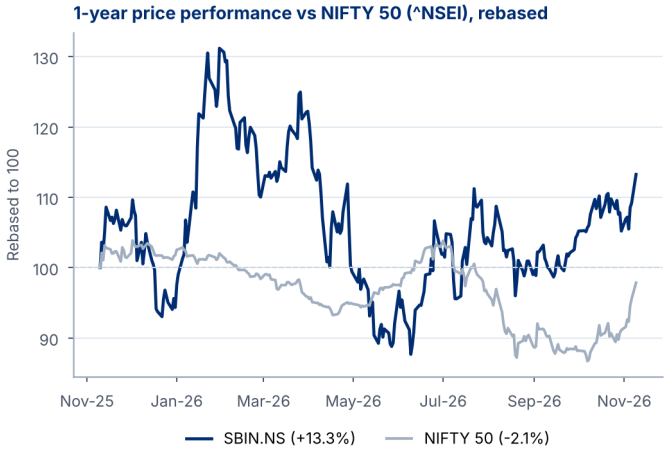
Target price basis: 50% intrinsic value + 50% peer-relative value. Rating scale: BUY above +15% upside, NEUTRAL −10% to +15%, SELL below −10%.

FINANCIAL SUMMARY & PROJECTIONS (₹ CR)

₹ Cr (FY end as labelled)	FY23	FY24	FY25	FY26	FY27E	FY28E
Net total income	**1,81,457**	**2,11,558**	**2,28,648**	**2,40,000**	**2,77,740**	**3,15,458**
YoY growth %	12.5%	16.6%	8.1%	5.0%	15.7%	13.6%
PAT	**50,232**	**61,077**	**70,901**	**76,000**	**86,349**	**98,616**
PAT margin %	27.7%	28.9%	31.0%	31.7%	31.1%	31.3%
EPS (₹)	54.4	66.2	76.8	82.3	93.6	106.8
Net worth	3,27,608	3,77,247	4,41,162	5,20,000	5,89,079	6,67,972
Book value per share (₹)	354.9	408.7	478.0	563.4	638.2	723.7
RoE %	16.5%	17.3%	17.3%	15.8%	15.6%	15.7%

E = model projection consistent with the valuation growth path. Banks are shown on net total income, net worth and book value; EBITDA, FCF and net debt are not meaningful.





EXCESS-RETURN VALUATION & ASSUMPTIONS

Assumptions & valuation bridge	
Method	Excess-Return Model
Risk-free rate (10Y G-Sec)	6.85%
Equity risk premium	6.25%
Beta (Blume-adjusted)	1.25
Cost of equity (CAPM)	14.64%
Growth: year 1 → terminal	15.7% → 5.0%
Current book equity	₹5,20,000 Cr
(+) PV of 5Y residual income	₹34,167 Cr
(+) PV of terminal residual income	₹50,924 Cr
Equity value	**₹6,05,091 Cr**
Diluted shares (Cr)	923.0
Intrinsic value per share	**₹656**
Upside / downside vs CMP	-37.1%

SENSITIVITY: KE VS TERMINAL GROWTH (₹ / SHARE)

Ke \ g	4.0%	4.5%	5.0%	5.5%	6.0%
13.6%	₹701	₹706	₹712	₹719	₹727
14.1%	₹674	₹678	₹683	₹688	₹693
14.6%	₹649	₹652	**₹656**	₹659	₹663
15.1%	₹627	₹629	₹631	₹634	₹636
15.6%	₹606	₹607	₹609	₹610	₹612

Base case highlighted. Green = above current price, red = below.

Target price derivation	₹ / share	Weight
Excess-Return Model	₹656	50%
Peer-relative (P/E, P/B)	₹612	50%
Target price	**₹634**	**SELL**
Current market price	₹1,042	-39.2%

NSE SECTOR PEER COMPARISON

Company	MCap (₹ Cr)	P/E	EV/EBITDA	P/B	RoE %	3Y PAT CAGR
State Bank of India (SBIN.NS)	9,61,766	12.7x	n.m.	1.8x	15.8%	14.8%
Bank of Baroda (BANKBARODA.NS)	1,34,451	6.8x	n.m.	0.9x	13.7%	12.0%
Punjab National Bank (PNB.NS)	1,51,903	8.7x	n.m.	1.1x	13.1%	91.1%
Canara Bank (CANBK.NS)	1,16,187	6.3x	n.m.	1.0x	17.3%	20.4%
Union Bank of India (UNIONBANK.NS)	1,50,390	8.6x	n.m.	1.2x	14.6%	27.6%
Sector Median (peers)	**—**	**7.7x**	**n.m.**	**1.0x**	**14.2%**	**24.0%**

Multiples use the latest reported fiscal year and current prices; the first row is the subject company; the median is taken across peers only.

VALUATION COMMENTARY

Banks are valued on an excess-return model: book equity plus the present value of returns earned above the 14.6% cost of equity (beta 1.25). Inputs: book equity ₹5,20,000 Cr; starting ROE 16.8% fading to 15.7%. Applying peer-median P/E, P/B to the company's own earnings base gives ₹612 per share. The target price of ₹634 reflects 50% intrinsic value + 50% peer-relative value.

5-STEP DUPONT ROE DECOMPOSITION

Component	FY22	FY23	FY24	FY25	FY26
Tax Burden (PAT/PBT)	0.75x	0.75x	0.75x	0.75x	0.75x
Interest Burden (PBT/EBIT)	1.00x	1.00x	1.00x	1.00x	1.00x
EBIT Margin (EBIT/Revenue)	26.2%	36.9%	38.5%	41.3%	42.2%
Asset Turnover (Revenue/Avg Assets)	0.03x	0.03x	0.04x	0.04x	0.03x
Financial Leverage (Avg Assets/Avg Equity)	17.81x	17.29x	16.59x	15.71x	14.54x
= Return on Equity	**11.3%**	**16.5%**	**17.3%**	**17.3%**	**15.8%**

Analyst interpretation: RoE moved from 11.3% in FY22 to 15.8% in FY26. The dominant driver was EBIT margin (26.2% to 42.2%, adding to RoE), followed by financial leverage (17.81x to 14.54x). Leverage of 14.5x is structural for a bank; interest burden is shown as 1.00x because interest expense is an operating cost and pre-tax profit is used as the operating-profit line.

FORENSIC QUALITY: PIOTROSKI F-SCORE & ALTMAN Z-SCORE

Piotroski F-Score: 5 / 7 (FY26)	Result	Evidence
ROA > 0	Pass	ROA 1.04%
Operating cash flow > 0	Pass	CFO ₹81,075 Cr
ROA improved YoY	Fail	1.06% → 1.04%
Accruals: CFO/Assets > ROA	Pass	CFO/TA 1.11% vs ROA 1.04%
Long-term leverage lower YoY	Pass	LTD/TA 9.00% → 9.00%
Current ratio improved YoY	n.a.	n.a. (line item not reported)
No equity dilution	Pass	923.0 Cr → 923.0 Cr shares
Gross margin improved YoY	n.a.	n.a. (line item not reported)
Asset turnover improved YoY	Fail	0.034x → 0.033x

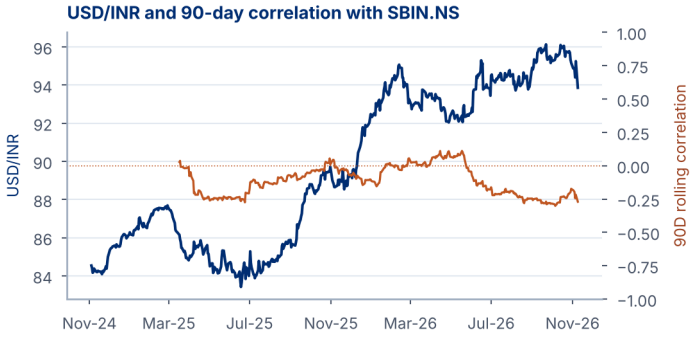
Altman Z-Score: not applicable	
X1 Working Capital / Total Assets	n.a.
X2 Retained Earnings / Total Assets	0.039
X3 EBIT / Total Assets	0.014
X4 Market Cap / Total Liabilities	0.142
X5 Revenue / Total Assets	0.033

Altman Z is calibrated on industrial companies. For banks and NBFCs, deposits and borrowings are operating liabilities and working capital is undefined, so the score is not meaningful — use capital adequacy (CET-1), GNPA/NNPA and RoA instead.

INR CURRENCY MACRO SENSITIVITY

Pair	Last	1Y change	52W range
USD/INR	93.86	+5.9%	88.54 – 96.13
EUR/INR	104.77	+2.2%	103.49 – 109.29
GBP/INR	125.61	+7.7%	116.05 – 131.68

SBIN.NS sensitivity to USD/INR	
FX beta (2Y daily)	-0.81
FX beta, NIFTY-neutral	-0.10
t-statistic (NIFTY-neutral)	-0.3
90-day rolling correlation	-0.27
INR depreciation: sector effect	Neutral



USD/INR is at 93.86; the rupee has depreciated 5.9% against the dollar over 12 months. State Bank of India's two-year FX beta to USD/INR is -0.81 (NIFTY-neutral -0.10, t-stat -0.3, not statistically significant) and the latest 90-day rolling correlation is -0.27. Structurally, INR depreciation is a broadly neutral direct earnings effect for the sector given limited direct translation exposure; the channel is indirect via bond yields, treasury gains and FPI flows. The market-neutral price sensitivity is too weak to treat the rupee as a standalone trading driver.

KEY RISKS

- Net interest margin compression as loans reprice faster than deposits
- Asset-quality slippage in MSME, agri and unsecured books
- Wage revisions and pension provisioning
- Policy-directed lending and government ownership overhang
- Valuation: fair value is sensitive to the discount rate and long-run growth assumptions (see sensitivity matrix)

DISCLOSURES

Methodology and disclosures. This note was generated algorithmically by an open-source research engine using the bundled offline demo dataset; prices as of 09 Nov 2026. Narrative engine: Deterministic NLG engine. Valuation: five-year FCFF DCF (excess-return model for banks) with CAPM cost of equity, India 10-year G-Sec risk-free rate, India equity risk premium and Section 115BAA tax rate; target price blends intrinsic and peer-relative value. Projections are mechanical extrapolations, not management guidance or consensus. The offline dataset contains approximate financials and simulated daily price paths anchored to periodic market levels; figures are illustrative. This document is for educational and demonstration purposes only. It is not investment advice, not a recommendation to buy or sell any security, and is not issued by a SEBI-registered research analyst or by any brokerage or bank. Past performance does not indicate future results.